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Solution

In the books of Ananth

Journal entries

Date	Particulars	L.F.	Debit `	Credit `
2018				
Jan. 1	Cash A/c Dr.		70,000	
	To Ananth's capital A/c			70,000
	(Commenced business with cash)			
2	Purchases A/c Dr.		30,000	
	To X and Co. A/c			30,000
	(Credit purchases made)			
3	Bank A/c Dr.		40,000	
	To Cash A/c			40,000
	(Cash deposited into bank)			
4	Buildings A/c Dr.		95,000	
	To L and Co. A/c			95,000
	(Building bought on credit)			
5	Cash A/c Dr.		5,000	
	To Bank A/c			5,000
	(Cash withdrawn from bank for office use)			
6	Drawings A/c Dr.		4,000	
	To Bank A/c			4,000
	(Cash withdrawn from bank for personal use)			
7	Charities A/c Dr.		3,000	
	To Purchases A/c			3,000
	(Goods given for charities)			
8	Drawings A/c Dr.		12,000	
	To Purchases A/c			12,000
	(Goods taken over for personal use)			
9	Sales promotion A/c Dr.		3,000	
	To Purchases A/c			3,000
	(Goods distributed as free samples)			
10	Office expenses A/c Dr.		200	
	To Purchases A/c			200
	(Goods used for office use)			